

ECONOMY — Five-Year Plans, Industrial Policy & 1991 Reforms

Batch 7 of 10 · Sources: Parmar Ch.10 (Five Year Plan and IPR) + Lucent §6 (Planning) + §8 (NEP/Reforms) + §13-14 (Industry) · PYQ buckets "06 Economic Planning & Institutions" (64 Qs) + "10 Industry and Infrastructure" (40+ Qs) + "12 New Economic Policy 1991" (25+ Qs) — the densest batch in this build · ★ = tested in a real past SSC paper

1 Pre-Independence Plans

Plan	Year	Author	Note
Visvesvaraya Plan	1934	M. Visvesvaraya	India's earliest planned-development blueprint; "Planned Economy for India"
National Planning Committee	1938	Formed by S.C. Bose; 1st Chairman J.L. Nehru	First attempt at a National Plan
Bombay Plan	1944-45	Leading capitalists incl. J.R.D. Tata	"A Plan of Economic Development for India"
Gandhian Plan	1944	—	Decentralised economy, self-contained villages
People's Plan	1945	M.N. Roy	Post-War Reconstruction Committee, Indian Trade Union
Sarvodaya Plan	1950	Jaiprakash Narayan	First blueprint for Independent India

Five-Year Plan concept borrowed from **USSR** (Stalin, 1928). Goals: **Growth, Modernisation, Self-reliance, Equity** ★ — "Dependence on foreign aid" was **NEVER a goal** ★ (a tested "which is NOT a goal" question). 20-year long-term framework = **Perspective Plan**. At Independence, ~75% population depended on agriculture; industry = 13% of GDP (1950-51).

2 The Twelve Five-Year Plans

Plan	Duration	PM	Basis/Focus	Target/Achieved
1st ★	1951-56	Nehru	Harrod-Domar Model ★; agriculture/irrigation (Bhakra Nangal, Hirakud) ★; FM: C.D. Deshmukh ★	2.1%/3.6% (Success)
2nd ★	1956-61	Nehru	Mahalanobis Model ★ — heavy industry/rapid industrialisation ★; "real planning began here" ★; IPR 1956 based on it; Bhilai/Rourkela/Durgapur steel plants (USSR/UK/Germany aid) ★; socialist pattern (Avadi session, 1955) ★; criticised by B.R. Shenoy (state control threatens democracy) ★	4.5%/4.3% (Moderate)
3rd ★	1961-66	Nehru→Shastri	Gadgil Formula ★; FAILED — Sino-Indian War (1962) ★ + Indo-Pak War (1965) + severe drought ★; PL-480 wheat imports; "Jai Jawan Jai Kisan" (Lal Bahadur Shastri)	5.6%/2.4-2.8% (Failure) ★
Plan Holiday ★	1966-69	—	3 Annual Plans instead of a 5-yr plan (post-3rd-plan failure, wars, drought, rupee devaluation 1966) ★; Green Revolution begins	—
4th ★	1969-74	Indira Gandhi	Gadgil Formula/Rudra-Allen Model ★; "Growth with Stability" + self-reliance; 14 banks nationalised (1969) ★; MRTP Act 1969 ★; Pokhran-I "Smiling Buddha" (1974)	5.6%/3.3% (Failure)

5th ★	1974-78	Indira Gandhi	D.P. Dhar Model; "Garibi Hatao" ★; Minimum Needs Programme (1974) ★ — basic services not just income growth ★; IDBI separated from RBI (1976) ★; Hill Area Development Programme ★	4.4%/4.8% (Moderate)
Rolling Plan ★	1978-80	Morarji Desai	Janata Party govt ★; inspired by Gunnar Myrdal's <i>Asian Drama</i> ; introduced by Deputy Chairman D.T. Lakdawala ★; terminated the 5th Plan a year early	—
6th ★	1980-85	Indira Gandhi	"Garibi Hatao" + modernisation ★; IRDP/NREP/TRYSEM ★; NABARD est. 1982 ★; SSIs = key to employment/export/rural development ★	5.2%/5.7% (Success)
7th ★	1985-90	Rajiv Gandhi	"Food, Work, Productivity" ★; tech modernisation, License Raj relaxed, first priority to private-sector investment ★; Jawahar Rozgar Yojana (1989, merged NREP+RLEGP); laid foundation for 1990s liberalisation ★; Dept. of Biotechnology set up	5%/6% (Success)
Annual Plans	1990-92	—	No 5-yr plan (political uncertainty); 1991 BoP crisis → LPG reforms begin	—
8th ★	1992-97	P.V. Narasimha Rao	Structural adjustment ★; License Raj ends, public-sector share declines; delayed 2 yrs from schedule (1990) ★	5.6%/6.8% (Highly successful)
9th ★	1997-2002	Atal Bihari Vajpayee	"Growth with Social Justice & Equality" ★; public-sector emphasis declines further ★; Pokhran-II (1998)	6.5%/5.4% (Failure)
10th ★	2002-07	Vajpayee (Chairman) / K.C. Pant (Dy. Chairman, from 1999) ★	Aimed to double per-capita income , cut poverty to ~5% by 2007 ★; National Horticulture Mission, Jute Technology Mission	8%/7.6% (Failure)
11th	2007-12	Manmohan Singh	Rapid/inclusive growth; overlapped 2008 global financial crisis	9%/8% (Failure)
12th ★	2012-17	Manmohan Singh	Faster/inclusive/sustainable growth; target cut from 9% to 8% ★ due to Eurozone debt crisis/post-2008 slowdown	8% target

HOOK P.C. Mahalanobis = "Architect of Indian Planning" ★ — birthday **29 June = Statistics Day** ★; founded Indian Statistical Institute, Kolkata; journal *Sankhya*. His model prioritised **heavy industry/capital goods** over agriculture ★ ("machines that make machines"), public sector leading role in steel plants/dams — future production capacity over short-term consumer benefit ★.

TRAP Planning Commission ★ formed **15 March 1950** ★, non-constitutional advisory body, PM = ex-officio Chairman ★ (first Chairman: **Nehru** ★; first Deputy Chairman: **Gulzarilal Nanda** ★, PYQ-book-only, see A.2). Replaced by **NITI Aayog, 1 Jan 2015** ★ (announced 2014) — "bottom-up"/cooperative-federalism approach. Under the **4th Plan**, Indira Gandhi was ex-officio Chairperson ★ (as PM).

Green Revolution ★ introduced during the **3rd Five-Year Plan** ★ (1961-66), full effect from 1966-67 (Plan Holiday) — HYV seeds, credited to **Dr. M.S. Swaminathan**. **Import Substitution** ★ = inward-looking strategy across the first 7 plans — protect infant domestic industries from foreign competition ★ (NOT to expand trade, attract foreign investors, or create export dependency).

HOOK Hindu Rate of Growth ★ — term for India's slow (~3.5%) growth 1950s-1980s; coined by **Prof. Raj Krishna** ★.

3 Industrial Policy Resolutions (IPR)

IPR	Year	Key points
1st IPR ★	1948 ★	First industrial policy of independent India ★; led by Dr. Shyama Prasad Mukherjee ★ (Industry & Commerce Minister); declared Mixed Economy ★; 4 industry categories (Strategic/Basic/Regulated/Other); start of License Raj
2nd IPR ★	1956 ★	"Economic Constitution of India" ★; objective = growth with equity ★; "socialistic pattern of society" ★; Commanding Heights Doctrine (coined by Lenin, 1922) ★; Schedule A (17 industries, public monopoly ★), Schedule B (12, public+private ★), Schedule C (rest, private) ★ — basis for later Maharatna companies
3rd IPR	1977	Morarji Desai/Janata govt; SSI emphasis; "Tiny Unit" concept (<₹1 lakh investment); MNC restrictions
4th IPR	1980	Indira Gandhi govt; back to heavy industries; foreign tech transfer encouraged (FERA 1973); Tiny Unit limit raised to ₹2 lakh
IPR 1991 ★	1991	Economic Liberalisation ★ — under P.V. Narasimha Rao, reforms by Manmohan Singh; shift from inward-looking to outward-oriented economy

HOOK **Karve Committee (1955)** ★ — Village & Small-Scale Industries Committee, Planning Commission, chaired by **D.G. Karve**; promoted **rural/labour-intensive small-scale industry** ★, NOT large-scale capital-intensive urban manufacturing ★ (a tested Assertion-true/Reason-false).

4 CPSE Classification

Category	Count ★	Criteria highlights	Example ★
Maharatna ★	14	Navratna status + listed + turnover ₹25,000+cr, net worth ₹15,000+cr, profit ₹5,000+cr; can invest up to ₹5,000cr/15% net worth without govt approval ★	NTPC, BHEL, HAL, Power Finance Corporation (granted Oct 2021) ★
Navratna	26	Miniratna-I or Schedule A + score ≥60/100; invest up to ₹1,000cr/15% net worth	BEL, Engineers India
Miniratna	~73 (Cat I/II)	3-yr consecutive profit; Cat I: pre-tax profit ≥₹30cr in any 1 of 3 yrs	Airports Authority of India

PSU industries' rationale (1947-90) ★: lack of private capital → public sector led strategic/social-goal industries, balanced regional development ★ (not because public sector was "inherently more efficient" — a tested distractor).

5 Industry Classification

Type	Meaning	Examples ★
Heavy Industry ★	Bulky/heavy raw materials (iron ore, coking coal), large capital ★	Iron & steel, shipbuilding, automobiles ★
Light Industry	Light raw materials, low capital/energy	Sewing machines, paint brushes, watches, electric bulbs ★
Basic/Capital Goods Industry ★	Produces machines/inputs for other industries	Iron & steel, aluminium smelting ★, machine tools
Consumer Goods Industry ★	Direct-consumption goods	Toothpaste ★, soap, clothes
Agro-based Industry ★	Raw material from agriculture	Cotton textiles, sugar (from sugarcane) ★ — NOT cement/petrochemicals/steel/aluminium (mineral-based, tested distractor)

HOOK India's **textile industry** ★ is self-reliant across its **full value chain** ★ (cotton→spinning→weaving→garment→export) — "Farm to Fashion" model. **Sugar industry** ★: seasonal (sugarcane availability), mills sited near sugarcane fields (sucrose degrades during transport ★); top producers UP/Maharashtra/Karnataka/Tamil Nadu ★; India = 2nd largest sugar producer (after Brazil ★) but **1st in gur/khandsari** ★.

Sindri Fertilizer Plant ★ — first major PSU industrial unit of independent India, est. **1951**, Dhanbad district, **Jharkhand** ★ (near Jharia coalfield for fuel supply). **Urea** = most-produced nitrogenous fertilizer ★; India is import-dependent on **potash** (not self-sufficient — tested distractor). **Chennai** = "**Detroit of India**" ★ (PYQ-book-only, see A.2; auto hub: Hyundai/Ford/BMW/TVS/Ashok Leyland) — NOT a petrochemical hub (that's Jamnagar/Dahej, Gujarat) ★.

6 1991 Reforms — New Economic Policy (NEP) / LPG

HOOK Reforms launched **24 July 1991** ★ — PM P.V. Narasimha Rao, FM Manmohan Singh ("Rao-Manmohan Model") ★; objective: overcome BoP crisis, dismantle License Raj, integrate globally ★. Also called **New Economic Policy (NEP)** ★. Divided into: **Stabilisation measures** (short-term — control inflation ~17%, fix BoP ★, rupee devalued 18-20% July 1991) + **Structural reforms** (long-term — LPG).

L / P / G	Meaning
Liberalisation ★	↓ govt regulation/licensing/restrictions — removed barriers to firm entry/growth ★ (License Raj restricted entrepreneurial freedom — a tested A-R, both true)
Privatisation	Shift PSU ownership/management to private entities; DIPAM (Dept. of Investment & Public Asset Mgmt, ex-Dept of Disinvestment) manages this
Globalisation ★	Integration via trade/FDI/tech flow — NOT expanding public-sector control (tested "NOT a goal" distractor) ★

TRAP IMF + World Bank ★ = key reform institutions (loans + policy guidance/structural-reform funding respectively ★) — NOT SAARC+WTO or BRICS+ADB. **Washington Consensus** does **NOT include export subsidies** ★ (it advocates trade liberalisation, ending subsidies — a tested "which is NOT part of" question). Trade reform post-1991: removed import quotas, cut tariffs on capital goods, abolished most licensing ★ (kept only for alcohol/cigarettes/hazardous chemicals/explosives — security/health/environment reasons ★).

LERMS (Liberalised Exchange Rate Management System) — dual exchange rate, introduced **1992** ★. Foreign-bank investment limit raised to **74%** ★ as part of financial-sector reform. Liberalisation affects **all 3 sectors** — primary, secondary, tertiary ★ (not just two). National Renewal Fund (Feb 1992, 8th Plan) — worker retraining/VRS support post-1991 reforms ★, abolished 2000.

HOOK Ease of Doing Business (EoDB) ★: "Enforcing Contracts" indicator = time/cost to resolve commercial disputes ★. **MCA21 ★** (Ministry of Corporate Affairs e-governance, SPICe+ forms) improved India's "Starting a Business" ranking. **DPIIT ★** (Dept. for Promotion of Industry & Internal Trade) = nodal body for industrial promotion + implements **PM Gati Shakti ★** (via its Logistics Division). **National Infrastructure Pipeline (NIP) ★** — announced 2019-20, formally from **2020 ★**, ₹111 lakh crore target (2020-25).

7 Lucent §6 — Planning: Types, Models & the Plan Table

Economic Planning = skillful use of limited natural resources to achieve desired goals; India's concept derives from the USSR; 'Planning' derives objectives/social premises from the Constitution's Directive Principles of State Policy. 1934 — Visvesvaraya's "Planned Economy for India" first raised planning; 1938 — All India Congress Committee demanded it; 1944 — 8 industrialists produced the Bombay Plan, plus the Gandhian Plan (Sriman Narayan) and the People's Plan (M.N. Roy, labour leader, April 1944); 30 Jan 1950 — Sarvodaya Plan (Jai Prakash Narayan). Post-Independence: 1947 — a committee on economic planning formed under Nehru; on its recommendation, the Planning Commission was constituted March 1950 (non-constitutional, advisory; the Constitution did not provide for it); the first Five-Year Plan's format was prepared in 1951. NITI Aayog replaced it 1 January 2015.

DOUBT Lucent's own Five-Year-Plan table gives different target/achieved percentages and different "Model" names than Parmar's table above (e.g. Second Plan achieved 4.21% here vs Parmar's 4.3%; Third Plan achieved 2.72% vs Parmar's 2.8%; Fourth Plan target 5.7%/achieved 2.05% vs Parmar's 5.6%/3.3%; Fifth Plan period "1974-79" vs Parmar's "1974-78"; Ninth achieved 5.5% vs Parmar's 5.4%; Tenth achieved 7.7% vs Parmar's 7.6%; Twelfth target 9.0% vs Parmar's 8%). Model-column oddities as printed: Third Plan "Sukhmoy Chakraborty and Prof. Saddy"; Fourth Plan "Ashok Rudra and Alon S. Manney"; Eighth Plan "John W. Miller Model"; Eleventh Plan "Prepared by Prof. C. Rangarajan". Both books' figures are preserved verbatim per the source's no-silent-correction policy; not reconciled.

Annual Plans (1966-69) — three Annual Plans formulated within the draft 4th-Plan framework. **Eighth Plan** (per Lucent) — could not launch in 1990 due to political instability; new govt (June 1991) set it to commence 1 April 1992, treating 1990-91 and 1991-92 as separate Annual Plans focused on maximising employment and social transformation.

Types of Planning

- **Imperative Planning** — a Central Planning authority decides every aspect of the economy; targets/processes strictly followed; used in socialist economies.
- **Indicative Planning** — the State sets broad parameters/goals without micromanaging; adopted in India from the **8th Five-Year Plan**, as practised in many developed countries.
- **Perspective Planning** — long-period (15-20 years) planning; operationalised through Five-Year and Annual Plans; sets the broad direction for the economy.
- **Rolling Plan** — three simultaneous layers: (1) current-year plan incl. the annual budget, (2) a fixed-multi-year plan (e.g. 3/4/5 years, revised annually), (3) a 10/15/20-year perspective plan.
- **Core Plan** — Planning Commission asks states for projected revenue estimates, then fixes State Annual Plan expenditure heads accordingly — keeps plan targets realistic, prevents fund diversion from priority items.

Models of Economic Development

Nehru-Mahalanobis Model — drove development strategy from the 2nd Five-Year Plan through the 1980s; aimed to enlarge opportunities for the underprivileged; "growth with social justice" — a self-generating development path removing poverty/unemployment/disease/ignorance; the **State controlled the economy's commanding heights via the public sector**.

Gandhian Model of Growth — the 'Gandhian Plan' was brought out by Acharya S.N. Agarwala in 1944, reaffirmed 1948; aims to raise the material and cultural level of the Indian masses to a basic standard of life; emphasises scientific agricultural development and rapid growth of cottage/village industries — agriculture as the most important planning sector (vs. Nehru's heavy-industry primacy), supported by handicrafts and cottage industries.

LPG Model of Development — introduced 1991 by FM Dr. Manmohan Singh; charted a new strategy emphasising Liberalisation, Privatisation, Globalisation; bigger private-sector role; envisages much larger FDI; aims at export-led growth (vs. earlier import substitution); reduces the State's role, abandoning "planning fundamentalism" for a liberal, market-driven pattern.

PURA Model of Development — Union Cabinet approved PURA (Providing Urban Amenities in Rural Areas) in principle on **20 January 2004**, to bridge the rural-urban divide; championed by Dr. A.P.J. Abdul Kalam to eradicate poverty (Mahatma Gandhi had earlier flagged rural exploitation by urban society); aims at economic development without population transfer, creating social/economic infrastructure for private investment in rural areas; neo-Gandhian — brings modern technology/amenities to rural areas while emphasising employment enlargement, reconciling employment and GDP-growth goals. The 11th Plan (2007-12) allocated ₹248 crore for PURA in a Public-Private Partnership mode.

8 Lucent §8 — New Economic Policy: Full Detail

New Economic Policy = reforms in production pattern, new technology adoption, fuller capacity use. First devised/implemented in **1985 under Rajiv Gandhi**; a "second wave" came in **1991 under P.V. Narasimha Rao**, driven by the Gulf War and the BoP problem. 3 main objectives: Liberalisation, Privatisation, Globalisation. Main sectors of the 1991 reform: Fiscal Policy, Monetary Policy, "Value Fixation Policy" (as printed), Foreign Policy, Industrial Policy, Foreign Investment Policy, Business Policy, Public Sector Policy.

First Generation Reforms — macro-level stabilisation: liberalisation/deregulation of industry, financial-sector reforms, taxation reforms. **Second Generation Reforms** — micro-level structural change: labour reforms, land reforms, capital-market reforms, expenditure and power-sector reforms. Since the reforms, poverty fell from 36% (1993) to 26% (end of 10th Plan) — but inequality rose (World Bank Report 1999-2000 confirms this). By 2005-06 the policy had become progressively more open/liberal/global.

Disinvestment = reducing government's industry share. The **Disinvestment Commission** was constituted **1996** to review/advise/regulate disinvestment; first Chairman: **G.V. Ramakrishna** (printed "Ramkrishna" in one instance). In 1992, the **National Renewal Fund** was set up to rehabilitate labourers displaced by industrial modernisation of sick units. "Navratna" — a globally-rising company, given complete autonomy by government to encourage it. Second-phase reform aim: eradicate poverty and achieve 7-8% growth.

Term	Lucent's definition
Privatisation	Increasing private-sector participation in public companies via capital/management (or both), or handing a PSU to a private company
Liberalisation	Relaxing/abolishing government control (includes privatisation within this process)
Globalisation	Amalgamating the national economy with the world economy — lower import/export duties, bringing in private capital and foreign technology
Disinvestment	Reducing government's share in the public sector

9 Lucent §13 — Industry: Full IPR 1991 Detail, CPSEs & MSMEs

India began its post-independence industrial quest in 1947; IPR 1948 marked the start of Indian industrial policy (accepted both public/private sector importance, handed basic-industry development to the Public Sector); IPR 1956 gave the public sector a strategic/pre-eminent role while allowing private-sector co-existence; objective — develop public + cooperative sectors, control private monopoly. IPR 1948's 4 industry categories were reduced to 3 in IPR 1956. 1973 — Joint Sector constituted on Dutta Committee recommendations. IPR 1980 (per Lucent) was influenced by federalism, giving concessions to agriculture-based industries. Comprehensive liberalisation steps were declared in the **Industrial Policy of 24 July 1991** — privatisation and liberalisation as its main thrust.

Major Features of NIP (New Industrial Policy), 1991 — full detail

- **Abolition of industrial licensing** — for all industries irrespective of investment size, except those involving security/strategic concerns, social reasons, safety/environmental issues, hazardous products, or elitist-consumption articles.

- **Easier foreign investment/technology entry** — govt encouraged foreign trading companies to help Indian exporters; direct foreign investment approved up to **51% foreign equity** in high-priority industries.
- **Diluted public-sector role** — of the 17 industries reserved for the public sector since 1956, all but 4 areas were removed from the Reserved List: (1) arms/ammunition and defence equipment/aircraft/warships, (2) atomic energy, (3) minerals specified under the Atomic Energy (Control of Production and Use) Order 1953, (4) railways.
- **MRTTP Act changes** — firms with assets above ₹100 crore (since 1985) were classified as MRTTP firms needing case-by-case approval to enter selected industries; NIP 1991 scrapped this asset threshold. In **2002**, the **Competition Act** replaced the MRTTP Act, and the **Competition Commission** replaced the MRTTP Commission.
- **Liberalised industrial-location policy** — no central industrial approval needed outside cities of >1 million population (except compulsorily-licensed industries); in cities >1 million, non-polluting industries excepted, others must locate 25 km beyond the periphery.
- **Abolition of Phased Manufacturing Programmes** for new projects (previously forced indigenisation in engineering/electronics industries).
- **Mandatory convertibility clause removed** — earlier, banks/FIs financing industrial investment could convert part of their loans into equity (seen as an unwarranted takeover threat to private firms); NIP 1991 abolished this mandatory clause.

Navratna origin — Union Budget 1997-98 named 9 well-performing PSUs "Navratna" with full autonomy: SAIL, IOC, BPCL, HPCL, BEL, HAL, ONGC, NTPC (8 named in the source's own list, as printed). Later additions: GAIL (Aug 1984 — as printed, though this predates the 1997-98 announcement), MTNL, NMDC, PFC, PGCIL, REC, NALCO, SCI, CIL. Navratna PSUs get enhanced autonomy: uncapped capital-expenditure powers, technology joint ventures, domestic/international capital raising, financial joint ventures, wholly-owned subsidiaries.

CPSE Lists (as on May 2025, per Lucent)

Maharatna (14): BHEL, BPCL, Coal India (CIL), GAIL, HPCL, IOCL, NTPC, ONGC, Power Finance Corporation (PFCL), Power Grid Corporation (PGCIL), SAIL, Rural Electrification Corporation (RECL), Oil India Limited (OIL), Hindustan Aeronautics Ltd (HAL).

Navratna (15 listed, one entry illegible in the source scan): Bharat Electronics (BEL), Container Corporation of India (CONCOR), [entry #3 unreadable in the source scan — possibly Engineers India Ltd, unconfirmed], Mahanagar Telephone Nigam (MTNL), National Aluminium Company (NALCO), National Building Construction Corporation (NBCC), NLC India Ltd (formerly Neyveli Lignite Corporation), National Mineral Development Corporation (NMDC), Rashtriya Ispat Nigam (RINL), Shipping Corporation of India (SCIL), Rail Vikas Nigam (RVNL), ONGC Videsh Ltd, Rashtriya Chemicals & Fertilizers Ltd, IRCON, RITES. Total Miniratna Category I+II = **59 (49+10)** as on 25 May 2025 (differs from Parmar's "~73" — see A.3). Grid Controller of India Ltd (GRID-INDIA) was conferred Miniratna Category-I status on 20 March 2024.

DOUBT These CPSE counts/lists are dated "as on May 2025" and change frequently as companies are up/down-graded — verify current status before relying on any single company's category. Note also the cross-book Miniratna-count discrepancy (Lucent: 59; Parmar: ~73) which the raw extraction itself flags as unreconciled.

Public Sector — Objectives & Disinvestment/Privatisation Distinction

Public Sector Enterprise (PSE) = government/public-owned undertakings; private sector = privately-owned. **Main objectives of the Public Sector:** promote rapid economic development via infrastructure creation/expansion; generate development finance; promote income/wealth redistribution; create employment; encourage small-scale/ancillary industries; promote exports and import substitution; promote balanced regional development.

Privatisation vs Disinvestment (Lucent's framing) — Privatisation = a change in ownership resulting in a change in management. Disinvestment = a wider term, from mere stake dilution up to a full ownership transfer (when govt stake falls below 51%). The Disinvestment Commission (Aug 1996, chairman G.V. Ramakrishna) advised: classify PSEs into core (max 49% disinvestment) and non-core (up to 74% disinvestment); distribute shares to small investors/employees for wide/worker ownership; give PSEs greater autonomy. Disinvestment policy has since evolved to include **strategic**

disinvestment — selling 50%+ of shareholding with management-control transfer. To ease the PSU financial burden, govt introduced a **Voluntary Retirement Scheme (VRS)**, nicknamed the "**Golden Hand Shake Scheme**", with full compensation to exiting employees.

Small Scale Industries & MSMEs

SSI importance in a labour-surplus economy: (1) Employment generation — labour-intensive vs capital-intensive large industry; (2) Equitable distribution — spread ownership across individuals/regions; (3) Mobilisation of small savings — runs on small capital; (4) MSME share in national GVA $\approx$ 32% (Economic Survey 2017-18); (5) Environment-friendly — dispersed away from urban centres. SSI problems: lack of timely/adequate/easy finance, raw-material shortages, weak marketing systems, competition from large-scale industry.

MSMEs contribute $\sim$ 30% of India's GDP, $\sim$ 46% of exports, employ 11.10+ crore people. New composite investment+turnover definition effective **1 July 2020** (Atmanirbhar Bharat package), identical limits for manufacturing and services:

Category	Old — Manufacturing (Plant & Machinery)	Old — Services (Equipment)	New — Both (Investment / Turnover)
Micro	$\leq$ ₹25 lakh	$\leq$ ₹10 lakh	Investment $\leq$ ₹1 crore, Turnover $\leq$ ₹5 crore
Small	₹25 lakh–5 crore	₹10 lakh–2 crore	Investment $\leq$ ₹10 crore, Turnover $\leq$ ₹50 crore
Medium	₹5–10 crore	₹2–5 crore	Investment $\leq$ ₹50 crore, Turnover $\leq$ ₹250 crore

Per NSS 73rd Round (2015-16, NSSO): 633.88 lakh unincorporated non-agriculture MSMEs (excluding those under the Factories Act 1948/Companies Act 1956/NIC 2008 Section F). Per Udyam Registration + Udyam Assist Portal data (10 Oct 2024): 5.20 crore MSMEs registered, of which 2.20 crore were Informal Micro Enterprises (IMEs). Retail/wholesale trades included as MSMEs from July 2021 (benefits restricted to priority-sector lending). Udyam Assist Platform launched January 2023 to formalise IMEs.

Sick Industries — a unit/company (existing $\geq$ 5 years) whose accumulated losses equal/exceed its entire net worth by a financial year-end, or equal/exceed 50% of its average net worth over the preceding 4 years, and which has failed to repay creditor debts across 3 consecutive quarters on written demand.

Industrial Financial Institutions — Full Dates (Lucent §13)

Indian Industrial Investment Bank Ltd — established 17 March 1997 under the Companies Act 1956; authorised capital ₹1,000 crore; HQ Kolkata. **SIDBI** — established 1990 (per this section; cf. "1989"/"2 April 1990" elsewhere — see A.3). **IFCI** — established 1 July 1948 by special Act of Parliament; long/mid-term credit to private+public industry. **ICICI** — established 1955 under the Indian Companies Act; supports private-sector industrial establishment/development/modernisation. **IDBI** — established 1 July 1964; apex industrial-finance institution. **IRBI (Industrial Reconstruction Board of India)** — established 1971, to reconstruct sick industrial units. **UTI** — established 1964, mobilises small savings via unit sales into securities. **Abid Husain Committee** — related to small-industry reforms.

10 Lucent §14 — Industrial Performance, Infrastructure & Flagship Programmes

Index of Industrial Production (IIP) measures manufacturing/mining/electricity output, plus use-based categories (primary, capital, intermediate, infra/construction, consumer durables/non-durables). 2023-24 IIP growth: 5.9% overall (mining +7.5%, manufacturing +5.5%, electricity +7.1%).

Index of Eight Core Industries (ICI) — tracks coal, crude oil, natural gas, refinery products, fertilizers, steel, cement, electricity; combined weight $\approx$ 40.27% of IIP. Growth: avg (-0.6%) (2018-19 to 2020-21) $\rightarrow$ +10.4% (2021-22) $\rightarrow$ +7.8% (2022-23) $\rightarrow$ +7.6% (2023-24 provisional, steel/coal in double digits).

Sector-wise Performance

Coal — $\sim$ 55% of India's energy needs; raw coal output: 716.08 MT (2020-21, provisional) vs 730.87 MT (2019-20); NITI Aayog's Draft National Energy Policy expects coal demand of 1.3-1.5 billion tonnes

by 2030; plans for 30,000 Ha green cover (75 million trees) around coal areas by 2030; PSU renewable capacity 1,496 MW (as on 31.03.2021), with 5,560 MW more planned over 5 years.

Textiles — one of the world's largest industries, full value-chain manufacturing strength; T&A (incl. handicrafts) = 8.21% of India's total exports (2023-24). Contributes ~7% of industrial production, ~2% of GDP, ~15% of export earnings; employs ~45 million. India = largest producer of cotton and jute, 2nd-largest of silk and man-made fibre. Mill sector: 3,400 mills, 50+ million spindles, 8,42,000 rotors — world's 2nd largest. Kanpur (10 cotton mills) = "Manchester of North India".

Silk — ~97% of raw mulberry silk from Karnataka, Andhra Pradesh, Tamil Nadu, West Bengal + J&K; called the "Queen of Textiles" (lustre/drape/strength); India is the only country producing all 4 commercial silk varieties — Mulberry, Eri, Tasar, Muga; 2nd-largest global producer (38,913 MT) after China.

Cotton — ~23% of global fibre production; ~60% of Indian textile industry's raw-material basket; sustains ~6 million cotton farmers + 40-50 million in related trades; largest cotton-cultivation area globally (~127 lakh hectares, ~38% of world area); 2023-24 output: 327.45 lakh bales.

Jute — largest global producer, ~80 lakh bales/year; provides direct employment to 0.37 million organised-mill workers.

Wool — India = 9th-largest wool producer (33.98 million kg raw wool, 2023-24): ~85% carpet-grade, 5% apparel-grade, 10% coarser-grade; average yield 0.9 kg/sheep vs world average 2.4 kg/sheep.

Steel — crude/finished steel production (Apr-Oct 2021-22): 66.91 MT / 62.37 MT (+25.0%/+28.9% YoY); finished-steel consumption 57.39 MT (+25.0%). Sponge-iron capacity 43.4 MT (2015-16); world's largest sponge-iron producer every year since 2003 except 2016; a net pig-iron exporter. Crude-steel capacity now 179.51 MT (BHARAT 2025).

Sectoral Developments — Electronics, Transport, Telecom, Power, Mining

Electronics — domestic production grew from ₹1.90 lakh crore (FY15) to ₹9.52 lakh crore (FY24), 17.5% CAGR; smartphone import-dependence cut to ~1% (99% domestic manufacture); ~33 crore mobile units produced in FY24, 75%+ 5G-enabled.

Road transport — total road network 63.4 lakh km (incl. National Highways 1,46,195 km — just 2% of the network carrying ~40% of road freight traffic); road transport = 78% of transport-services GVA (FY23), the highest share within transport.

Railways — 17 new Vande Bharat train-pairs + 228 coaches (Apr-Oct 2024). **Gati Shakti Multi-modal Cargo Terminals**: 91 commissioned, 234 locations approved (by 31 Oct 2024). **Net-zero target**: 30 GW renewable energy by 2029-30 (375 MW solar + 103 MW wind commissioned by Oct 2024). **Economic corridors**: 434 projects worth ₹11.17 lakh crore mapped on PM GatiShakti portal. **Mumbai-Ahmedabad High-Speed Rail** — sanctioned Dec 2015, 508 km, Japan-backed, revised cost ₹1.08 lakh crore, 47.17% physical progress (Oct 2024). **Dedicated Freight Corridors** — 2,741 km (96.4%) of the planned 2,843 km commissioned (Nov 2024). **Kavach** (indigenous Automated Train Protection) — ₹1,547 crore invested (till Nov 2024); Electronic Interlocking installed at 227 stations in FY25 (total 3,576 stations); first Direct Drive Interlocking commissioned Nov 2024 at Tajpur.

Civil Aviation — capex plan >₹91,000 crore (FY20-25), ~91% achieved by Nov 2024. UDAN (Regional Connectivity Scheme) — 619 routes, 88 airports (incl. 2 water aerodromes, 13 heliports) operationalised; airport cargo capacity reached 8.0 million MT in FY24.

Ports & Shipping — **Sagarmala programme** harnesses India's coastline/waterways for logistics efficiency (port connectivity, coastal community development, coastal shipping, inland water transport). Key projects: **Vadhavan Mega Port** (₹76,000+ crore, 9 container terminals); **Tuticorin International Container Terminal** (inaugurated Sept 2024, 6 lakh TEU/year capacity, vessels up to 10,000 TEU) + a planned Outer Harbour (+4 million TEU capacity, two 1,000m terminals); **Chabahar Port** (Shahid Beheshti Port, Iran) links Mumbai to Eurasia via INSTC — 43% rise in vessel traffic, 34% rise in container traffic (FY24); **Sittwe Port, Myanmar** (Kaladan Project) — alternative Kolkata-Mizoram route. River-cruise tourism: 82,587 day-cruise passengers (by Oct 2024); night-cruise passengers up 5x to 11,431 (FY24 vs FY19).

Telecommunications — 5G live in all states/UTs (by 31 Oct 2024), 779/783 districts, 4.6 lakh+ 5G BTS installed. **BharatNet** (broadband to all Gram Panchayats): 6.92 lakh km OFC laid, 2.14 lakh GPs service-ready (incl. 5,032 via satellite), 12.04 lakh FTTH connections (as of Dec 2024).

Power Sector — installed capacity +7.2% YoY to 456.7 GW (Nov 2024); renewable capacity +15.8% YoY to 209.4 GW (Dec 2024, from 180.8 GW Dec 2023) — renewables now ~47% of total installed

capacity.

Manufacturing — industrial sector grew 6% in H1 FY25 (Q1: 8.3%, Q2 moderated "due to three key factors" — unspecified in the source). **Mining** — contributes ~8% of industrial output; top 5 states (Assam, Chhattisgarh, Gujarat, Maharashtra, Odisha) = ~60% of all-State mining GSVA.

Kandla — First Green SEZ — Kandla SEZ (KASEZ) awarded IGBC Platinum Rating (26 July 2021) for green master planning/policy/infrastructure — first Green SEZ to achieve IGBC's Green Cities Platinum Rating for Existing Cities.

National Logistics Policy (NLP) — launched 2022; an interdisciplinary, cross-sectoral, multi-jurisdictional logistics framework, complementing PM GatiShakti (which targets integrated infrastructure, while NLP targets logistics-service efficiency via process streamlining, regulation, skill development, and technology adoption); vision: a tech-enabled, integrated, cost-efficient, resilient, sustainable, trusted logistics ecosystem.

Make in India — launched September 2014; facilitates investment, innovation, world-class infrastructure, positions India as a manufacturing/design/innovation hub ("Vocal for Local", "Make in India for the World"); now spans 27 sectors — DPIIT coordinates 15 manufacturing-sector plans, Dept. of Commerce coordinates 12 service-sector plans; investment outreach via ministries/states/Indian missions abroad.

Startup India — launched 2016; fosters entrepreneurship/innovation via 3 pillars — simplification & handholding, funding support & incentives, industry-academia partnership & incubation. By July 2024: 1,43,549 recognised startups across 56 industries, 670+ districts, at least one from every State/UT, 15.80+ lakh jobs created since 2016. **Startup India Seed Fund Scheme (SISFS)** — DPIIT scheme, ₹945 crore outlay, funds proof-of-concept/prototyping/trials/market-entry/commercialisation; targets ~3,600 entrepreneurs via 300 incubators over 4 years.

Appendix

A.1 — PYQ citation index (buckets 06+10+12, ~130 Qs combined — representative selection; full coverage reflected in-body)

Fact tested	Exam · Date · Shift (sample)
Planning Commission 1st Chairman = Nehru	SSC CHSL Tier-I, 29/11/2025 (Sh-03)
Architect of Indian Planning = Mahalanobis	SSC CHSL Tier-I, 22/11/2025 (Sh-02); SSC CGL Tier-I 25/09/2025 (Sh-01)
Planning Commission function = 5-yr plans	SSC CHSL Tier-I, 12/11/2025 (Sh-03)
Import substitution objective	SSC CGL Tier-I, 20/09/2025 (Sh-02); 16/09/2025 (Sh-03); 20/09/2025 (Sh-01)
Rolling Plan = Morarji Desai, 1978-80	SSC CGL Tier-I, 23/09/2025 (Sh-03)
Planning Commission established 1950	SSC CGL Tier-I, 24/09/2025 (Sh-01)
Mahalanobis strategy = heavy industry investment	SSC CGL Tier-I, 25/09/2025 (Sh-01)
IPR 1956 → 2nd Five Year Plan, commanding heights	SSC CGL Tier-I, 23/09/2025 (Sh-01); 23/09/2025 (Sh-02, Sh-03)
Growth w/ Social Justice = 9th Plan; 1st Plan=Harrod-Domar (statements)	SSC Stenographer, 07/08/2025 (Sh-02)
6th Plan = Garibi Hatao (statements)	SSC Stenographer, 07/08/2025 (Sh-01)
1st Plan launched 1951	SSC Phase XIII, 02/08/2025 (Sh-02)
Foreign aid = Soviet Union/UK/W.Germany, 2nd Plan	SSC Phase XIII, 24/07/2025 (Sh-03)
2nd Plan basis = Mahalanobis ideas	SSC CHSL Tier-I, 30/11/2025 (Sh-03)
2nd Plan ended 1961	SSC CHSL Tier-I, 30/11/2025 (Sh-02)
4th Plan started 1969	SSC CPO Tier-I, 09/12/2025 (Sh-01)
8th Plan key issue = BoP+debt (statements)	SSC CPO Tier-I, 09/12/2025 (Sh-01)
Global crisis during 12th Plan launch	SSC CHSL Tier-I, 29/11/2025 (Sh-03)
4th Plan Planning Commission Chairman = Indira Gandhi	SSC CHSL Tier-I, 24/11/2025 (Sh-02)

Hill Area Development Programme, 5th Plan	SSC CHSL Tier-I, 21/11/2025 (Sh-03)
"NOT a goal" = dependency on foreign aid	SSC CHSL Tier-I, 20/11/2025 (Sh-01)
3rd Plan disruption = war+drought	SSC CHSL Tier-I, 29/11/2025 (Sh-01); SSC CPO Tier-I 12/12/2025 (Sh-02)
Real planning began = 2nd Plan	SSC CHSL Tier-I, 28/11/2025 (Sh-03)
Self-reliance goal, post-Independence (A-R)	SSC CGL Tier-I, 17/09/2025 (Sh-02)
Mahalanobis Model used in 2nd Plan	SSC CGL Tier-I, 17/09/2025 (Sh-03)
2nd Plan = Mahalanobis, heavy industry focus	SSC CGL Tier-I, 17/09/2025 (Sh-01)
MNP = Fifth Plan (A-R + direct Q)	SSC CPO Tier-I, 10/12/2025 (Sh-01); SSC CGL Tier-I 19/09/2025 (Sh-03)
3rd Plan failure (A-R)	SSC CPO Tier-I, 09/12/2025 (Sh-02)
4th Plan growth+stability (A-R)	SSC CPO Tier-I, 09/12/2025 (Sh-02)
Import substitution rationale (A-R)	SSC CGL Tier-I, 16/09/2025 (Sh-03)
Plan Holiday definition	SSC CGL Tier-I, 20/09/2025 (Sh-03); 14/10/2025 (Sh-02)
Socialist pattern = 2nd Plan (Avadi session)	SSC CGL Tier-I, 24/09/2025 (Sh-02)
1st Plan focus = agriculture	SSC CGL Tier-I, 24/09/2025 (Sh-03)
Architect of 5-yr plans = Mahalanobis	SSC CGL Tier-I, 25/09/2025 (Sh-01)
Green Revolution = 3rd Plan	SSC CGL Tier-I, 25/09/2025 (Sh-03)
6th Plan aim = poverty/modernisation	SSC CGL Tier-I, 26/09/2025 (Sh-02, Sh-03)
Karve Committee = rural industrialisation (A-R)	SSC CPO Tier-I, 11/12/2025 (Sh-02)
PFC granted Maharatna, Oct 2021	SSC CHSL Tier-I, 22/11/2025 (Sh-03); 18/11/2025 (Sh-03)
National Renewal Fund purpose	SSC CHSL Tier-I, 14/11/2025 (Sh-03)
IBC 2016 purpose = resolve financial distress	SSC Stenographer, 06/08/2025 (Sh-02)
Capital goods industry definition	SSC CHSL Tier-I, 13/11/2025 (Sh-02)
EoDB "Enforcing Contracts" indicator	SSC Stenographer, 08/08/2025 (Sh-01)
Public sector dominance rationale 1947-90	SSC Stenographer, 08/08/2025 (Sh-03)
Non-manual tertiary occupation trend	SSC Stenographer, 08/08/2025 (Sh-03)
Light industries definition	SSC CGL Tier-I, 12/09/2025 (Sh-02)
Iron/steel = heavy industry (A-R)	SSC CGL Tier-I, 12/09/2025 (Sh-03)
Textile industry = full value chain self-reliance	SSC CGL Tier-I, 13/09/2025 (Sh-01)
Heavy industry pair = shipbuilding+automobile	SSC CGL Tier-I, 13/09/2025 (Sh-02)
Fertilizer industry statements (potash/urea/Gujarat-Kerala)	SSC CGL Tier-I, 13/09/2025 (Sh-03)
Consumer goods industry = toothpaste	SSC CGL Tier-I, 14/09/2025 (Sh-01)
Sugar industry statements	SSC CGL Tier-I, 14/09/2025 (Sh-02); 14/10/2025 (Sh-02)
Mahalanobis heavy-industry rationale (A-R)	SSC CGL Tier-I, 15/09/2025 (Sh-01)
Agro-based industry pair = cotton+sugar	SSC CGL Tier-I, 15/09/2025 (Sh-03)
IPR 1956 Schedule A/B/C (A-R)	SSC CGL Tier-I, 16/09/2025 (Sh-01)
Sindri plant = Jharkhand	SSC CGL Tier-I, 16/09/2025 (Sh-03)
1st Industrial Policy = 1948	SSC CGL Tier-I, 18/09/2025 (Sh-02); 21/09/2025 (Sh-02 A-R)
Heavy industry description	SSC CGL Tier-I, 20/09/2025 (Sh-02)
IPR 1956 objective = growth with equity	SSC CGL Tier-I, 23/09/2025 (Sh-01, Sh-02, Sh-03)
Chennai = Detroit of India (statements)	SSC CGL Tier-I, 23/09/2025 (Sh-02)
Basic industry = aluminium smelting	SSC CPO Tier-I, 11/12/2025 (Sh-02)
MCA21 improved Starting-a-Business EoDB	SSC CPO Tier-I, 12/12/2025 (Sh-02)
DPIIT handles industry+Gati Shakti (statements)	SSC CPO Tier-I, 12/12/2025 (Sh-02)
National Infrastructure Pipeline launched 2020	SSC CHSL Tier-I, 12/11/2025 (Sh-02)

Deepak Parekh Committee (affordable housing), 2008	SSC CHSL Tier-I, 22/11/2025 (Sh-01)
1991 reforms year/name (multiple phrasings)	SSC CGL Tier-I, 26/09/2025 (Sh-01); 25/09/2025 (Sh-01); Stenographer 06/08/2025 (Sh-01)
Stabilisation short-term objective = inflation/BoP	SSC CGL Tier-I, 23/09/2025 (Sh-03)
1991 crisis = external debt/BoP	SSC CPO Tier-I, 09/12/2025 (Sh-01)
Trade reform impact on capital-goods imports	SSC Stenographer, 07/08/2025 (Sh-03)
Rupee devalued 1991 = boost exports/forex	SSC Phase XIII, 24/07/2025 (Sh-03)
IMF+World Bank role in reforms	SSC Phase XIII, 31/07/2025 (Sh-02)
"NOT a goal" of 1991 reforms = expand public sector	SSC CPO Tier-I, 10/12/2025 (Sh-01)
EoDB ranking weightage (A-R)	SSC CGL Tier-I, 21/09/2025 (Sh-01)
Streamlining regulations definition	SSC CPO Tier-I, 10/12/2025 (Sh-02)
Liberalisation affects all 3 sectors	SSC CGL Tier-I, 17/09/2025 (Sh-01)
Washington Consensus excludes export subsidies	SSC CGL Tier-I, 19/09/2025 (Sh-03)
Liberalisation removes entry barriers (A-R)	SSC CGL Tier-I, 23/09/2025 (Sh-02)
1991 reforms opened economy to foreign investors (A-R)	SSC CGL Tier-I, 24/09/2025 (Sh-01)
Sectors excluded from post-91 licensing	SSC CGL Tier-I, 24/09/2025 (Sh-02)
LERMS introduced 1992	SSC CHSL Tier-I, 19/11/2025 (Sh-03)
Foreign bank investment limit = 74%	SSC CHSL Tier-I, 26/11/2025 (Sh-02)
Trade policy reform: removed QRs (statements)	SSC Stenographer, 08/08/2025 (Sh-03)
1991 reforms boosted forex reserves (A-R)	SSC CGL Tier-I, 17/09/2025 (Sh-01)

A.2 — PYQ-book-only facts

K.C. Pant's exact tenure dates (5 Feb 1999–17 June 2004) as Deputy Chairman during the 10th Plan, Deepak Parekh Committee (2008, affordable housing), Gulzarilal Nanda as first Deputy Chairman of the Planning Commission, and "Chennai = Detroit of India" — all sourced to the PYQ book's own explanations, not independently present in the Parmar/Lucent raw extraction (though the 10th Plan itself and Vajpayee/Manmohan Singh chairmanship are backed).

A.3 — Doubts carried forward

CPSE counts (14/26/~73) and financial thresholds are time-sensitive (flagged in the raw extraction). Some Five-Year-Plan target/achieved growth figures vary slightly between the raw extraction and individual PYQ explanations (e.g. 3rd Plan achieved 2.4% vs 2.8% across different citations) — both transcribed as printed in their respective sources, not reconciled.

A.4 — Full source coverage note

Sections 7-10 above restore the previously-condensed Lucent content in full: §6 (Types of Planning, Models of Economic Development, PURA, the Lucent plan table), §8 (NEP full detail, First/Second Generation Reforms, Disinvestment Commission), §13 (complete IPR-1991 NIP feature list, CPSE lists, Public Sector objectives, Privatisation/Disinvestment distinction, MSME definitions/data, Sick Industries, financial-institution dates), and §14 (Index of Industrial Production, Eight Core Industries, all sector-wise performance data, infrastructure/transport/telecom/power sections, Make in India, Startup India) — nothing from the raw extraction for this batch is now deliberately excluded.